Revenue Increase Prediction Model for Sri Lankan Businesses Using Paid Ads (Google Ads and YouTube Ads)

Introduction

Most of the businesses in Sri Lanka rely on Facebook and Instagram for marketing their business using organic and paid ads, whether it is a small-scale clothing brand, a restaurant, or a cafe. Their focus is to drive audience to their business through social media posts and TikTok.

While marketing on Facebook and Instagram does bring results, it only pulls a small scale of audience, and the other effect is that it is becoming overcrowded in the market, where the competition is increasing and the ads cost a lot.

Marketing your business on Google and YouTube is currently becoming popular, but most businesses have no idea about it. The reason a company should manage its ads on Google and YouTube is that most of the audience or customers find details of services through Google's search engine, such as "Cafes near me," "Clinics near me," or "ICT classes in Mount Lavinia." This shows that many potential customers are searching for services and products and not just searching for fun.

This report focuses on how Sri Lankan businesses can use Google Ads and YouTube Ads to increase their revenue and reach new audiences.

How Google and YouTube Ads Work in Promoting a Business

1) Google Ads

They allow users to show their services on Google search and Google Maps. For example, if someone searches "German language classes near me", a class that runs Ads would make it appear at the top of the search results.

Businesses can show ads on:

1. Google Maps, when searching for nearby cafes or restaurants.
2. Ads can be shown on blogs and articles to drive traffic.

Businesses only pay when someone clicks their ads, for example. If a salon spends 15000 lkr on ads and gets about one thousand clicks, that is a lot of potential customers; they can make more than what they paid for, so it is a plus point.

2) YouTube Ads

They are ads that appear before or during videos that people watch. It can target the right set of audience when promoting the business or services.

We can promote our ad based on the target audience, age, location, and interests. Based on this, we can get potential customers for the business.

Growth from Google and YouTube Ads

By using Google and YouTube Ads, we can target the correct kind of people who are interested in that niche of products or services.

For example:

When someone searches for a seafood restaurant, they are clearly looking to eat from somewhere soon.
When someone searches for O/L tips, they are potential customers for the educational niche.
When someone watches a YouTube video on vlogs in America, they might be planning a trip.

So, by searching, these YouTube and Google tracks our history and give us the necessary services or products we need through ads. Even a 10-second YouTube ad can reach thousands of Sri Lankans every day.

Most of the Sri Lankan businesses have not approached this method yet. While this method can result in much better results than social media marketing, the competition in Sri Lanka is low, and the ad cost is low as well.

Types of businesses that could profit more from this marketing method.

Only a certain kind of businesses will be able to see growth from Google and YouTube ads marketing, such as: Salons, Hotels, Cafes, Online shops, real estate and property, Gyms, etc.

1. **Salons** - Most people search for "salons near me" or "salons in Mount Lavinia or Dehiwala."
2. **Hotels** - Most of the foreigners use Google and YouTube to plan trips and all.
3. **Cafes** - Most of the people search "seafood restaurant near me" and similar phrases.
4. **Online shops** - Everyone checks for reviews and compares and then purchases.
5. **Real estate** - Most people search for “land for sale in Colombo” or “apartments in Kandy.” Ads can attract serious buyers.
6. **Gym** - People search "gyms near me" and even check the reviews.

All companies that rely on individuals looking for something can truly benefit immensely from Google and YouTube Ads. This method can result in much better results than social media marketing, as we can target the correct kind of people who are interested in that niche of products or services. These types of businesses would record the most growth, reaching thousands of Sri Lankans every day and attracting genuine buyers with direct appointments and early bookings.

How Google and YouTube Ads Can Help a Business Make More Money

These are some of the main things that can decide how much revenue your ads can make.

1) Visibility
This is where these ads are available and how much people see them. This is one of the main steps to consider, meaning that if there are more viewers, there will be more potential buyers.

2) Engagement
This is how many people click or watch your ad. The more people who see it, the more they tend to visit your website or shop.

3) Potential customers
This is the stage when customers act, for example, by buying, calling, or visiting the shop. This part is where we get the money.

4) Competition
If there are more competitors, your ad tends to be less effective.

5) Budget
This is the step where u choose to spend your money wisely on the ad; choosing wrongly can make you suffer a loss. If your ads are targeted to the right niche of people, they tend to make more money without wasting.

For example, let us say there is a small cafe in Dehiwala that spends around 25,000 - 30,000 monthly on Google Ads. When people search things like "Cafes near me" or "Best cafes to relax", these ads are more likely to appear on top of the organic search results.

Let us say a thousand people saw the ad, so even a small amount of those viewers will visit the cafe, which is around 100 to 200 customers just from those ads.

Current data

According to sources, the ad reaches an audience on YouTube in Sri Lanka of around 8.3 million viewers, which is about 31 percent of the total population. Also, there is an increase of 12 percent where businesses have started to use YouTube ad marketing. Social media marketing is also used on a large scale, but still, for certain types of businesses, YouTube ad marketing seems worthwhile.

Even Sri Lankan Airlines ran a Google ad campaign that achieved a groundbreaking ad growth, where they were able to find potential customers for their business. This is based on a local study on Ada Derena.

Using Artificial Intelligence for revenue prediction

They play a huge role in predicting and increasing the ad performance. It helps certain businesses to understand what ads will bring in more revenue and helps us on how to spend our budget wisely.

1. AI can predict the performance, such as AI tools like Google's Smart Bidding can predict which ads will get more engagement.
2. AI can analyse buyers' data, such as their interests, search patterns, and their location, and give them products based on that.
3. It also helps us spend our money efficiently, so we will be able to maximize the profits.
4. It also helps to identify which ads will suit the best for each audience best.
5. AI helps Sri Lankan businesses to predict revenue growth and target the right customers automatically.

Pitching Strategy

<u>A simple, detailed structure</u>

1. **Preparing before the meeting**: Researching about the business's products, services, competitors, and their marketing methods, and highlighting how Google and YouTube Ads can help their business thrive. Having case studies or local examples is the best way of showing.
2. **Starting a conversation**: An example "Good Morning, I would like to discuss how to increase your customers and get more sales for your business." And ask about how their current ads are doing so far (Facebook or Instagram ads) and talk how Google and YouTube Ads can help more efficiently.
3. **Find their current problems**: Note when they say that they spend so much on ads but only get few real customers, use their points, and highlight how Google and YouTube Ads marketing can help more with it.
4. **Show them how Google and YouTube Ads can help their business thrive**: Tell how most people search on Google to find stuff more than Instagram or Facebook, like for example "Salons near me", "cafes near me", "Best restaurants for seafood". And highlight that not too many businesses use Google and YouTube Ads, so you will be able to stand out.
5. **Explain how AI is useful for your business**: Talk about how AI will help predict the change in the most accurate form and tell which ads are best to spend their money, which allows for saving a lot of money and time. And talk about the difference between traditional ads and AI ads.

Traditional ads: Random audience, higher cost.
AI ads: Targeted audience, better results.

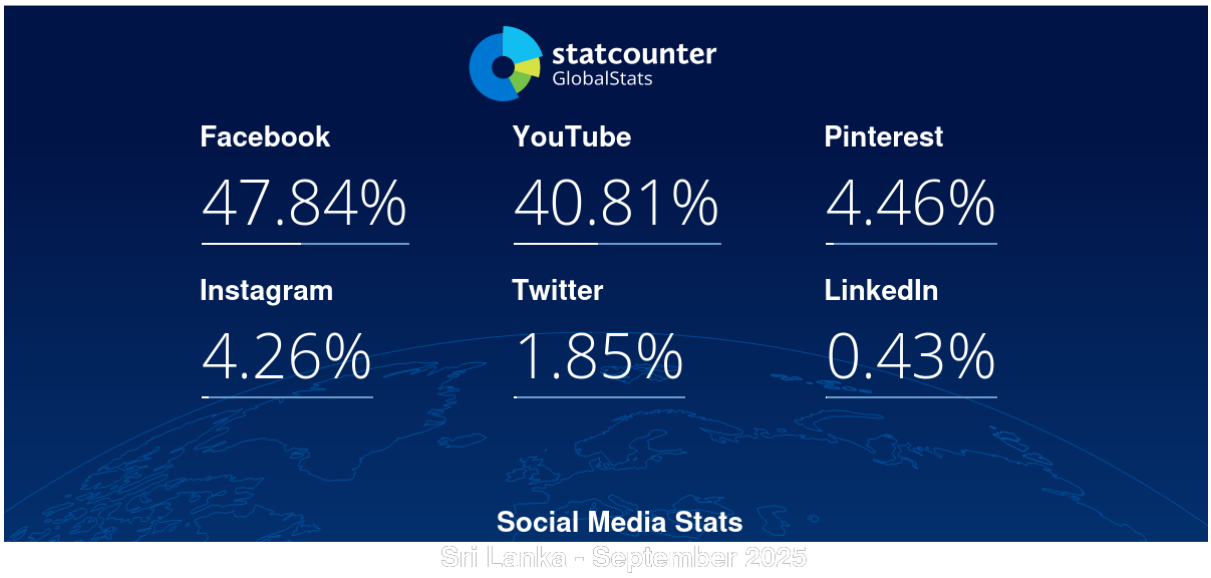
6. **Use real-life current examples to highlight that they have worked**: Bring in a similar business and show that these Google and YouTube Ads have brought them potential customers.
7. **Give them a simple plan**: Start small and then gradually increase the budget for the ads and say that we will target the audience nearby to this place and bring in real customers.
8. **End with a positive note like**: "You'll see how many new customers come in."

AI Revenue Prediction Model

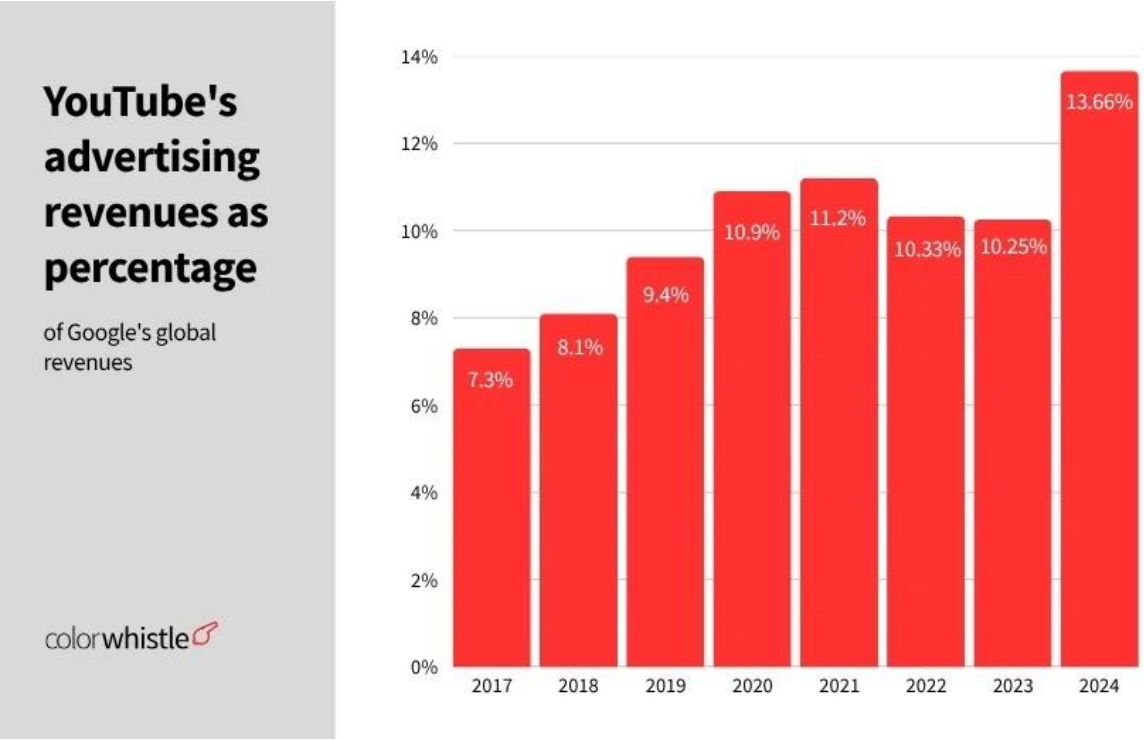
This model allows us to predict the future sales from the ads that are run by the business.

The AI model uses your past sales numbers, how much money we are willing to spend on ads, and what our target audience is based on interests. So, based on these, it is able to predict.

Based on this data, the AI model will give a response like:
"If you spend Rs. 30,000 on ads, we predict your monthly revenue will increase by 15–20%."
This helps you decide if it's a good investment. The AI uses a method that finds the connection between your ad spending and your sales. It learns from data to make a very accurate guess about your future profit.



Facebook (47.84%) – Mostly local businesses market their businesses here, and even though it is the most used social media here in Sri Lanka.
YouTube (40.81%) – Close to Facebook. Great for Video ads.
Pinterest (4.46%) and Instagram (4.26%) – Useful for a younger audience, like mostly design or clothing-related businesses
Twitter (1.85%) and LinkedIn (0.43%) – Not useful for the Sri Lankan market because of no engagement.



In Sri Lanka, YouTube is one of the most visited platforms, with millions and millions of daily views. Currently, YouTube ad growth is rising globally, so we should bring this to the

Sri Lankan market as well, whether it is restaurants, clothing stores, or an education centre. In 2017, YouTube made up 7.3 percent of Google's entire revenue, and by 2024, it increased to 13.66 percent.

This market has a lot of opportunities for businesses to connect with their customers and can allow them to grow their businesses most effectively. Since the market is not big in Sri Lanka, there is a smaller number of competitors.